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The Market for Financial Adviser Misconduct

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1 Big picture

- **Question.** How common is misconduct in the market for financial advice? What happens to advisers after misconduct? Why do advisers and firms with dirty records continue to survive in equilibrium?
- **Setting.** The paper studies the universe of U.S. financial advisers registered with FINRA over 2005–2015 and combines adviser histories, firm characteristics, county demographics, and regulatory disclosures.
- **Core challenge.** A disclosure is not always the same thing as wrongdoing. The paper therefore has to define misconduct conservatively, distinguish firm discipline from industry discipline, and separate true misconduct from differences in complaint detection.
- **Main contribution.** The paper provides a large-scale economywide measurement of adviser misconduct and then traces the labor market dynamics that let misconduct persist.
- **Main fact about prevalence.** Misconduct is not a rare outlier event. About 7.28% of advisers have at least one misconduct record, and the annual flow rate of new misconduct is 0.60%.
- **Main fact about concentration.** Misconduct is highly concentrated. Roughly 27% of advisers with misconduct records are repeat offenders, and advisers with prior misconduct are around five times more likely than the average adviser to offend again.
- **Main fact about firms.** Misconduct varies sharply across firms. Some large firms have employee misconduct rates above 15%, while others are much cleaner. These differences are persistent over time.
- **Main labor-market result.** Misconduct is costly but not career-ending. Roughly 48% of advisers leave their firm after misconduct, versus 19% otherwise, yet many are rehired by other firms in the industry.
- **Main matching result.** Advisers who leave after misconduct sort to lower-paying, less prestigious, and more misconduct-prone firms. Dirty firms are both more willing to hire such advisers and less willing to fire them.
- **Main mechanism result.** Misconduct is more common at firms serving retail clients and in counties with more elderly, less educated, and higher-income households. This supports a segmented-market interpretation in which some firms specialize in exploiting less sophisticated consumers.
- **Economic takeaway.** Market discipline exists, but it is incomplete. The industry does not fully purge bad advisers because some firms absorb them and some customers are easier to exploit.

2 Data and measurement (key objects)

2.1 Core data architecture

The central data source is FINRA’s *BrokerCheck* database. The authors build a monthly panel of all registered financial advisers in the United States from 2005 to 2015.

- The adviser panel contains about 1.2 million advisers and roughly 8 million adviser-year observations.
- For each adviser, the data include employment history, exams and qualifications, and the full set of disclosures on the adviser’s record.
- The firm side includes the universe of advisory firms in BrokerCheck, with firm identifiers, ownership and executive information, and employment rosters.

The paper supplements BrokerCheck with:

- private industry survey data on firm assets, revenue, and adviser compensation,
- social-network/CV data to proxy for firm prestige and desirability,
- county demographic information from the Census and American Community Survey,
- Form ADV filings to measure client type and fee structure for investment advisory firms.

Interpretation. The empirical advantage is breadth. This is not a hand-collected scandal sample. It is a near-universe panel with matched adviser, firm, and local-market information.

2.2 Adviser summary statistics

Table 1 shows the average adviser in the sample has 11.25 years of experience.

Important averages:

- 51.4% are registered as investment advisers.
- 12.7% have some disclosure on record.
- 7.28% have a misconduct record.
- 0.60% receive a new misconduct disclosure in a given year.
- Advisers hold 2.92 qualifications on average.

The most common exams are Series 63 (77.1%), Series 7 (68.0%), Series 6 (39.9%), Series 66 (21.3%), Series 65 (20.5%), and Series 24 (15.8%).

Interpretation. Misconduct is common enough to matter economically, but not so common that every adviser looks the same. There is room for both clean and dirty segments of the market.

2.3 Firm summary statistics

Table 1 also reports firm-level and client-base statistics.

- The sample covers 4,178 active firms.
- The mean firm has 170 advisers, but the dispersion is very large.
- The average firm-level flow of misconduct is 0.51% per year.
- The average firm-level stock of misconduct is 10.2%.

- 30.7% of firms have an owner or officer with a misconduct record.

In the Form ADV subsample:

- 86% of firms serve retail clients,
- 94.1% charge fees based on assets under management,
- 47.0% use commissions,
- 49.7% use hourly fees,
- 65.6% use fixed fees.

Interpretation. The firm-level facts already hint at heterogeneity. Dirty firms are not isolated curiosities; they are a stable part of the industry.

2.4 How the paper defines misconduct

FINRA reports 23 disclosure categories. The paper classifies only six of them as *misconduct*:

- Customer Dispute—Settled,
- Employment Separation after Allegations,
- Regulatory—Final,
- Criminal—Final Disposition,
- Customer Dispute—Award/Judgment,
- Civil—Final.

All other disclosure categories are treated as “other disclosures.”

The authors emphasize that this is a *conservative* classification:

- personal financial problems such as bankruptcy are not counted as misconduct,
- denied or withdrawn customer disputes are not counted as misconduct,
- pending cases are not counted as misconduct until fault is resolved.

Interpretation. This choice pushes against overstating the problem. If the paper still finds large and persistent misconduct under a conservative definition, the facts are more compelling.

2.5 Flow versus stock measures of misconduct

The paper uses two related but distinct misconduct measures.

First, the **flow** of misconduct:

$$\text{MisconductFlow}_{it} = \mathbf{1}\{\text{adviser } i \text{ receives at least one misconduct disclosure in year } t\}. \quad (1)$$

Second, the **stock** of misconduct:

$$\text{MisconductStock}_{it} = \mathbf{1}\{\text{adviser } i \text{ has any prior misconduct record by year } t\}. \quad (2)$$

The flow rate measures the annual incidence of newly revealed misconduct. The stock rate measures how likely a consumer is to encounter an adviser who already has a dirty record.

Interpretation. The flow is about current misconduct risk; the stock is about the quality of the adviser pool consumers face.

2.6 What misconduct looks like in practice

Table 3 breaks down the allegations attached to misconduct-related disclosures. The most common allegations are:

- unsuitable investments (21.3%),
- misrepresentation (17.7%),
- unauthorized activity (15.0%),
- omission of key facts (11.6%),
- fee or commission issues (8.7%),
- fraud (7.9%).

The most common products involved are insurance, annuities, stocks, and mutual funds.

Interpretation. The allegations line up with classic agency problems in household finance: unsuitable products, misrepresentation, hidden facts, and incentive-conflicted selling.

2.7 How severe is misconduct?

The paper studies settlement and damages amounts paid to consumers.

Table 4 shows:

- mean settlement granted for misconduct: about \$551,471,
- median settlement granted for misconduct: \$40,000,
- mean damages requested: about \$1.52 million.

The distribution is very skewed, but even the median payment is large relative to household wealth.

Interpretation. These are not tiny clerical mistakes. The economic harm is large enough that the industry-level cost of misconduct is substantial.

2.8 Employment outcomes

The paper tracks whether advisers:

- remain with the same firm,
- leave the firm,
- leave the industry,

- join another firm within a year,
- remain out of the industry for different lengths of time.

These transitions let the authors distinguish **firm discipline** from **industry discipline**.

Interpretation. It is not enough to know whether advisers are fired. What matters for equilibrium is whether they can come back somewhere else.

2.9 Firm misconduct and county misconduct

At the aggregate levels, the paper constructs:

$$\text{FirmEmployeeMisconduct}_{jt} = \frac{\text{number of advisers at firm } j \text{ with misconduct}}{\text{number of advisers at firm } j}, \quad (3)$$

and

$$\text{CountyMisconduct}_{lt} = \frac{\text{number of advisers in county } l \text{ with misconduct}}{\text{number of advisers in county } l}. \quad (4)$$

Depending on the specification, the numerator uses either the annual flow of new misconduct or the stock of past misconduct.

Interpretation. These measures shift the focus from individual bad apples to dirty firms and dirty markets.

2.10 Proxies for customer sophistication and firm type

The paper uses several proxies for clientele and sophistication:

- whether a firm serves retail clients,
- whether the firm uses commissions,
- county education,
- county share of elderly residents,
- county income,
- social-network links as a prestige measure,
- whether owners or executives themselves have misconduct records.

Interpretation. The mechanism part of the paper asks whether misconduct survives because some firms systematically target more vulnerable consumers.

3 Models and empirical specifications (all equations + interpretation)

3.1 Adviser-level recidivism

The main adviser-level prediction equation is

$$\text{Misconduct}_{ijlt} = \beta_0 + \beta_1 \text{PriorMisconduct}_{ijlt} + \beta X_{ijlt} + \mu_{jlt} + \varepsilon_{ijlt}. \quad (5)$$

Here:

- Misconduct_{ijlt} is a dummy for receiving a new misconduct disclosure in year t ,
- $\text{PriorMisconduct}_{ijlt}$ indicates whether adviser i had a past misconduct record before year t ,
- X_{ijlt} includes adviser experience and qualifications,
- μ_{jlt} are firm $\times$ year $\times$ county fixed effects in the strongest specification.

Table 5 shows β_1 is large and positive. The estimate is about 2.4 percentage points in simple specifications and 1.9 percentage points with firm-year-county fixed effects. Since the baseline annual misconduct rate is only 0.60 percentage points, past offenders are about five times more likely to offend again.

Interpretation. Within the same firm, county, and year, advisers with dirty pasts are much more likely to have dirty futures. Misconduct is persistent at the individual level.

3.2 Firm-level persistence

At the firm level, the paper estimates

$$\text{FirmEmployeeMisconduct}_{jt} = \beta_0 + \beta_1 \text{FirmEmployeeMisconduct}_{j,t-1} + \beta_2 \text{ExecutiveMisconduct}_{j,t-1} + \beta X_{jt} + \mu_t + \mu_s + \varepsilon_{jt} \quad (6)$$

The key regressors are lagged firm misconduct and whether an owner or executive has a misconduct record. Additional controls include firm size, age, affiliation, structure, and other firm characteristics.

Table 7 finds:

- firm misconduct is persistent, with a lag coefficient around 0.33 in the preferred specification,
- executive misconduct is positively related to later employee misconduct,
- more desirable firms have lower misconduct.

Interpretation. Firms are not just passive containers for advisers. Some firms appear systematically more tolerant of misconduct than others.

3.3 Firm-level punishment: employment separation

To study whether firms punish misconduct, the paper estimates

$$\text{Separation}_{ijlt+1} = \beta_0 + \beta_1 \text{Misconduct}_{ijlt} + \beta X_{it} + \mu_{jlt} + \varepsilon_{ijlt}, \quad (7)$$

where $\text{Separation}_{ijlt+1} = 1$ if adviser i is no longer at firm j in year $t + 1$.

Table 9 shows a large positive coefficient: misconduct raises the probability of leaving the firm by roughly 24–31 percentage points, depending on controls.

The paper also studies severity with

$$\text{Separation}_{ijlt+1} = \beta_0 + \beta_1 \ln(\text{Damages}_{ijlt}) + \beta X_{it} + \mu_j + \mu_l + \mu_t + \varepsilon_{ijlt}. \quad (8)$$

A doubling of damages raises separation probability by about 1 percentage point.

Interpretation. Firms do punish misconduct, and they punish more severe misconduct more heavily.

3.4 Industry-level punishment: reemployment

Conditional on leaving a firm, the paper estimates

$$\text{NewEmployment}_{ij'lt+1} = \beta_0 + \beta_1 \text{Misconduct}_{ijlt} + \beta X_{it} + \mu_{jlt} + \varepsilon_{ijlt}, \quad (9)$$

where the sample is restricted to advisers who left their previous firm.

Table 9 shows advisers with recent misconduct are 8–10 percentage points less likely to find a new job within one year.

For severity:

$$\text{NewEmployment}_{ij'lt+1} = \beta_0 + \beta_1 \ln(\text{Damages}_{ijlt}) + \beta X_{it} + \mu_j + \mu_l + \mu_t + \varepsilon_{ijlt}. \quad (10)$$

Larger damages reduce the probability of quick reemployment.

Interpretation. Industry discipline exists, but it is milder than firm discipline. Many advisers who lose a job after misconduct still remain in the industry.

3.5 Duration out of the industry

The paper also estimates a Cox proportional hazards model:

$$\lambda_{it}(t) = \lambda_0(t) \exp(\gamma \text{Misconduct}_{i,t-1} + \beta X_{it} + \mu_t). \quad (11)$$

Here $\lambda_{it}(t)$ is the hazard of returning to employment after spending t months out of the industry.

Table 10 reports hazard ratios around 0.83 in the main specifications. That means recent misconduct lowers the probability of reemployment at each moment in time. Conditional on eventually finding a job, however, the speed difference is small.

Interpretation. Misconduct lengthens time out of the industry, but not by enough to purge most offenders.

3.6 Where do offenders go? New firm characteristics

To study the quality of the new match, the paper estimates

$$\text{NewFirmCharacteristic}_{ij't+1} = \beta_0 + \beta_1 \text{Misconduct}_{ijt} + \mu_{jt} + \varepsilon_{ij}. \quad (12)$$

The dependent variable can be:

- average payout,
- number of social-network links,
- misconduct rate at the new firm,
- firm size,
- assets,
- revenue.

Table 11 shows that advisers with recent misconduct move to:

- firms paying about \$14,690 less,
- less prestigious firms,
- firms with a 0.53 percentage point higher misconduct rate,
- firms with roughly 1,898 fewer advisers,
- firms with lower assets and lower revenue.

Interpretation. Misconduct does not just change whether an adviser works again; it changes *where* the adviser works. Offenders are re-matched into worse and dirtier firms.

3.7 Firm tolerance in firing decisions

To test whether dirty firms are more tolerant of new misconduct, the paper estimates

$$\text{Separation}_{ijlt+1} = \beta_0 + \beta_1 \text{Misconduct}_{ijlt} + \beta_2 \left(\text{FirmEmployeeMisconduct}_{jt} \times \text{Misconduct}_{ijlt} \right) + \beta X_{it} + \mu_{jlt} + \varepsilon_{ijlt}. \quad (13)$$

Table 12 finds the interaction is negative. The firing penalty for misconduct is smaller at firms with higher existing misconduct.

Interpretation. Dirty firms not only employ more offenders; they also punish additional misconduct less harshly.

3.8 Firm tolerance in hiring decisions

The hiring-side version is

$$\text{ShareOfNewHiresDisciplined}_{j,t+1} = \beta_0 + \beta_1 \text{FirmEmployeeMisconduct}_{jt} + \mu_s + \mu_t + \varepsilon_{jt}. \quad (14)$$

Table 12 shows a strong positive relationship: firms with more misconduct are more likely to hire advisers who were disciplined in the prior year.

Interpretation. Hiring and firing policies line up. Dirty firms maintain dirty adviser pools on both margins.

3.9 Retail-client firms and fee structure

To connect firm misconduct to clientele, the paper estimates

$$\text{FirmEmployeeMisconduct}_{jt} = \beta_0 + \beta_1 \text{RetailFirm}_{jt} + \sum_k \beta_k \text{CompensationStructure}_{kjt} + \varepsilon_{jt}. \quad (15)$$

Table 13 shows that firms serving retail investors have higher misconduct, and commission-based firms also have worse misconduct records.

Interpretation. The equilibrium does not look random. Misconduct is more common where incentives and customers make it easier to sustain.

3.10 County demographics and local misconduct

At the county level, the paper estimates

$$\text{CountyMisconduct}_{lst} = \beta X_{lst} + \mu_t + \mu_s + \varepsilon_{lst}, \quad (16)$$

where X_{lst} includes population, income, rural share, college share, elderly share, and labor force participation.

Table 15 shows misconduct is higher in counties with:

- fewer college graduates,
- more elderly residents,
- higher income.

Interpretation. The geography is consistent with targeting or persistence among more vulnerable customer groups, not with a uniform national market.

4 Identification and instruments (what makes the estimates credible)

4.1 This is mainly a measurement and equilibrium paper, not an IV paper

The paper does *not* have a single quasi-experimental design that identifies the causal effect of misconduct on everything else. Its main contribution is different:

- build a conservative misconduct measure,
- document strong persistence and sorting patterns,
- show that firm discipline and industry discipline differ,
- connect firm misconduct to clientele and customer sophistication.

Interpretation. The strongest claims are about *patterns in the market* and *equilibrium organization*, not about one clean treatment effect.

4.2 Why the recidivism result is believable

Several features support the repeat-offender result:

- the misconduct definition is conservative,
- figure 4 shows elevated offending probabilities many years after the initial offense,
- the result survives adviser controls and firm $\times$ year $\times$ county fixed effects,
- the result is robust to stricter “severe misconduct” definitions.

Interpretation. The recidivism result is not just a mechanical artifact of noisy complaints or one event recorded multiple times.

4.3 Why the firm-discipline estimates are credible

The separation regressions compare advisers:

- at the same firm,
- in the same county,
- in the same year.

That absorbs many confounds:

- firm culture and business model,
- local labor market conditions,
- local regulation,
- aggregate shocks such as the financial crisis.

The damages regressions add another credibility check: more severe misconduct leads to more separation.

Interpretation. The firing result is not simply that dirty firms have more turnover overall. Within a firm at a point in time, the offending adviser is more likely to leave.

4.4 Why the reemployment and sorting results are credible

A concern is that advisers who switch firms without misconduct might be unusually strong workers, making them a bad control group.

The paper addresses this in two ways:

- it compares advisers leaving the same firm in the same year,
- it redoes the analysis using firm dissolutions, where all advisers are forced to search for jobs.

In the dissolution sample, advisers with misconduct are still less likely to find reemployment and still sort to dirtier and smaller firms.

Interpretation. The sorting-to-dirty-firms result does not appear to be driven by voluntary job hopping by unusually good advisers.

4.5 Why the customer-sophistication mechanism is not only about detection

Observed misconduct is detected misconduct. That matters because some counties or clienteles may complain more.

The authors address this by separating cases initiated by:

- customers,
- noncustomers such as firms or regulators.

The key patterns remain for noncustomer-initiated cases:

- retail firms still look dirtier,
- elderly and less educated counties still look dirtier.

Interpretation. This does not fully solve the detection problem, but it makes the pure-detection story less convincing.

4.6 Main limitations

The paper is careful, but several limits remain:

- it observes only misconduct that is reported and resolved through disclosure,
- some misconduct may be expunged or never detected,
- the retail-client and county-demographic results are still conditional correlations rather than clean causal effects,
- some supplemental variables (assets, payout, client type) exist only for subsamples.

Interpretation. The estimates likely understate the true amount of misconduct, but the mechanism evidence should still be read as strong supporting evidence rather than final proof.

5 Tables and figures

The exhibits move in a natural order: first define and quantify misconduct, then show persistence, then show firm heterogeneity, then compare firm versus industry discipline, and finally connect equilibrium misconduct to consumer sophistication.

5.1 Table 1, Table 2, Table 3, and Table 4: the paper measures a large and costly problem

Read:

- Table 1 shows the scale of the data set and the basic frequencies: 7.28% of advisers have a misconduct record, and the annual flow of new misconduct is 0.60%.

TABLE 1 ADVISER AND FIRM SUMMARY STATISTICS					
Variable	Observations	Mean	Standard Deviation	Median	Number of Firms
A. Adviser Summary Statistics					
Experience (years)	7,946,680	11.25	9.60	9.00	
Registration:					
Currently registered	7,946,680	69.8%			
Registered as investment adviser	5,544,727	51.4%			
Disclosures:					
Disclosure (flow in 1 year)	7,946,680	1.62%			
Misconduct (flow in 1 year)	7,946,680	.69%			
Disclosure (stock)	7,946,680	12.7%			
Misconduct (stock)	7,946,680	7.28%			
Exams and qualifications (series):					
Number of qualifications	7,946,680	2.92	1.37	3.00	
Uniform Securities Agent State Law (63)	7,946,680	77.1%			
General Securities Representative (7)	7,946,680	68.0%			
Investment Company Products Representative (6)	7,946,680	89.9%			
Uniform Combined State Law (66)	7,946,680	21.3%			
Uniform Investment Adviser Law (65)	7,946,680	20.5%			
General Securities Principal (24)	7,946,680	15.8%			

B. Firm Summary Statistics					
BrokerCheck Data:					
Investment advisory firm	38,627	23.1%			4,178
Affiliated with financial institution	38,627	52.7%			4,178
Firm age	38,627	15.15	13.34	12	4,178
Owner/officer misconduct	38,627	30.7%			4,178
Number of business lines	38,627	5.79	4.57	4	4,178
Number of advisers	38,627	170	1,212	10	4,178
Firm employee misconduct (flow in 1 year)	38,627	3.1%	3.36%	.69%	4,178
Firm employee misconduct (stock)	38,627	10.2%	17.1%	2.6%	4,178
Form ADV data:					
Services retail clients	1,136	.86			405
Number of accounts	1,554	24,535	1,065	133,446	441
Compensation/fee structure:					
Assets under management	1,554	94.1%			441
Hourly	1,554	49.7%			441
Fixed fee	1,554	65.0%			441
Commission	1,554	47.0%			441
Performance	1,554	8.9%			441
Other data sources:					
Number of social network links	16,159	2,365	22,603	47	1,696
Total assets (billions)	894	31	61	13	75
Total revenue (millions)	813	345	670	154	74
Average annual payout	802	201,819	101,163	195,818	73

NOTE.—Panel A displays the summary statistics corresponding to our panel of financial advisers over the period 2005–15. Observations are advisers by year. We report the standard deviation and median for the non-dummy variables. Panel B displays summary statistics of financial advisory firms. Observations are firms by year. The BrokerCheck data cover the period 2005–15. Information on the number of business lines, investment advisory registration, and affiliations are as of 2015. Form ADV data cover the period 2011–15. Number of social network links measures the number of individuals who follow a firm on a popular social media website as of May 2015. Data covering the asset, revenue, and average adviser payout/salary data are from a private industry survey as of 2014.

- Table 2 shows how restrictive the misconduct classification is: only six of 23 disclosure categories count as misconduct.
- Table 3 shows the dominant allegations are unsuitable recommendations, misrepresentation, unauthorized activity, and omission of key facts.
- Table 4 shows the dollar stakes are substantial: the median settlement is \$40,000 and the mean exceeds \$550,000.

TABLE 2 FINANCIAL ADVISER DISCLOSURES AND MISCONDUCT		
DISCLOSURE	DISCLOSURE/MISCONDUCT	
	Flow of New Disclosures (%) (1)	Stock of Disclosures (%) (2)
Misconduct disclosures:		
Customer Dispute—Settled	.317	3.71
Employment Separation after Allegations	.183	.98
Regulatory—Final	.096	1.23
Criminal—Final Disposition	.025	2.05
Customer Dispute—Award/Judgment	.017	.57
Civil—Final	.003	.03
Any misconduct-related disclosure	.603	7.28
Other disclosures:		
Financial—Final	.348	2.10
Customer Dispute—Denied	.311	3.20
Judgment/Lien	.215	1.00
Customer Dispute—Closed—No Action	.072	.96
Financial—Pending	.058	.29
Customer Dispute—Pending	.057	.28
Customer Dispute—Withdrawn	.016	.17
Criminal—Pending Charge	.009	.02
Investigation	.009	.03
Regulatory—Pending	.004	.01
Civil—Pending	.004	.01
Customer Dispute—Final	.002	.02
Customer Dispute—Dismissed	.001	.01
Civil Bond	.001	.02
Regulatory—on Appeal	.001	.00
Criminal—on Appeal	.000	.00
Civil—on Appeal	.000	.00
Any disclosure	1.620	12.73

NOTE.—The table displays the incidence of disclosures and misconduct among financial advisers. Observations are advisers by year over the period 2005–15. Column 1 displays the share of observations in which the adviser received one or more of a given type of disclosure in a given year. Column 2 displays the share of observations in which the adviser either received or previously received one or more of a given type of disclosure.

TABLE 3 MISCONDUCT COMPLAINTS, PRODUCTS, AND SETTLEMENTS/DAMAGES		
MISCONDUCT (%)	DISCLOSURE TYPE	
	Misconduct (%)	Other Type (%)
A. Reasons for Complaint		
Unsuitable	21.3	31.1
Misrepresentation	17.7	25.6
Unauthorized activity	15.0	10.6
Omission of key facts	11.6	7.7
Fee/commission related	8.7	7.4
Fraud	7.9	4.2
Fiduciary duty	6.5	4.5
Negligence	5.8	4.5
Risky investments	3.7	6.3
Churning/excessive trading	2.6	2.7
Other	42.5	31.5
B. Products		
Insurance	13.8	15.2
Annuity	8.6	18.6
Stocks	6.0	6.3
Mutual funds	4.6	5.9
Bonds	1.9	4.5
Options	1.2	1.2
Other/not listed	69.9	55.0

NOTE.—Panel A displays the most frequently reported allegations corresponding to the disclosures that occurred over the period 2005–15. We observe allegations for 91.9 percent of the misconduct-related disclosures and 33.4 percent of the other types of disclosures. The allegation categories are not mutually exclusive. The “Other” category includes all other allegations/classifications that were reported with a frequency of less than 2 percent. Panel B displays the most frequently reported financial products in the allegations. Over half of the allegations do not list a specific financial product.

TABLE 4 MISCONDUCT SETTLEMENTS/DAMAGES				
Variable	Observations	Mean	Standard Deviation	Median
Misconduct-related disclosures:				
Settlements/damages granted	35,406	551,471	9,300,282	40,000
Settlements/damages requested	28,046	1,520,231	61,601,420	100,000
Other disclosures:				
Settlements/damages granted	751	6,152,410	50,738,600	45,478
Settlements/damages requested	31,653	739,753	18,655,940	32,199

NOTE.—The table displays the settlements/damages (in dollars) that were granted and requested over the period 2005–15. We observe the settlements/damages details for 45.8 percent of misconduct-related disclosures and 0.6 percent of the other types of disclosures.

Economic message. Before asking why misconduct persists, the paper first establishes that it is neither rare nor trivial. The scale is large, the classification is conservative, and the consumer harm is economically meaningful.

5.2 Figure 4 and Table 5: repeat offenders are central to the paper

Read:

- Figure 4A shows that a large share of misconduct advisers offend more than once.
- Figure 4B shows the probability of misconduct remains far above the unconditional mean even many years after the first offense.
- Table 5 formalizes this. Prior misconduct raises new misconduct by roughly 1.9–2.4 percentage points depending on controls.

Economic message. The paper’s most important fact is that misconduct is persistent at the

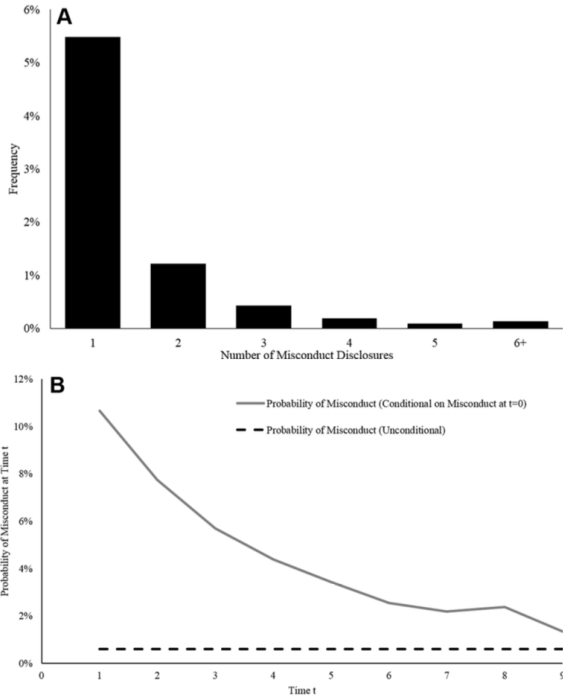


FIG. 4.—Misconduct frequency. A, Distribution of misconduct. B, Repeat offenders.

	(1)	(2)	(3)
Prior misconduct	2.40*** (.100)	2.27*** (.096)	1.90*** (.074)
Experience		.078*** (.017)	.12*** (.012)
Exams and qualifications (series):			
Investor Adviser Exam (65/66)		.31*** (.031)	.22*** (.024)
Securities Agent State Law (63)		.17*** (.021)	.13*** (.018)
General Securities Representative (7)		.032 (.033)	.045* (.024)
Investment Company Product Representative (6)		.0043 (.029)	.028 (.028)
General Securities Principal (24)		.020 (.030)	.0033 (.020)
Number of other qualifications		-.26** (.11)	-.28*** (.075)
Year × firm × county fixed effects			X
Observations	7,946,680	7,946,680	7,597,776
R ²	.006	.007	.092

NOTE.—The table displays the regression results for a linear probability model (eq. [1]). The dependent variable measures the flow of new misconduct over a 1-year period and is a dummy variable indicating that the adviser received one or more misconduct disclosures in a given year. Coefficient units are percentage points. The independent variables experience and number of other qualifications are measured in tens of years and tens of qualifications. Observations are at the adviser by year level. Standard errors are in parentheses and are clustered by firm.

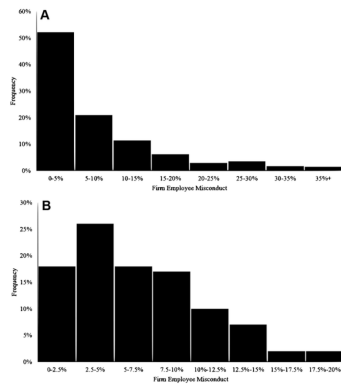
* $p < .10$.

** $p < .05$.

*** $p < .01$.

adviser level. That makes it hard to explain the data as random mistakes, bad luck, or one-off misunderstandings.

5.3 Figure 5, Table 6, and Table 7: misconduct is concentrated in some firms



- Table 7 shows firm misconduct is persistent and positively related to executive or owner misconduct.

Economic message. The firm heterogeneity is too large to ignore. The market contains relatively clean firms and relatively dirty firms side by side, which is exactly what later makes reallocation after misconduct possible.

5.4 Table 8, Table 9, Figure 6, Table 10, and Table 11: firms punish misconduct, but the industry only partly does

TABLE 8
LABOR MARKET CONSEQUENCES OF MISCONDUCT: JOB TURNOVER

	No Misconduct (%)	Misconduct (%)
Remain with the firm	81.3	52.0
Leave the firm	18.7	48.0
Conditional on leaving the firm:		
Leave the industry	47.7	56.2
Join a different firm (within 1 year)	52.3	43.8

NOTE.—The table displays the average annual job turnover among financial advisers over the period 2005–15. Leave the industry is defined as an adviser's not being employed as a financial adviser for at least 1 year; join a different firm is a dummy variable that takes the value of one if the adviser is employed at a different financial advisory firm within a year. The job transitions are broken down by whether or not the adviser received a misconduct disclosure in the previous year.

TABLE 9
LABOR MARKET CONSEQUENCES OF MISCONDUCT

	(1)	(2)	(3)	(4)	(5)	(6)
A. Employment Separation						
Misconduct	29.5*** (1.69)	30.8*** (1.62)	24.4*** (1.82)			
In (settlement)			.59 (.48)	.99** (.47)	.89*** (.26)	
Adviser controls	X	X		X	X	
Year × firm × county fixed effects			X			
Year fixed effects					X	
County fixed effects					X	
Firm fixed effects					X	
Observations	7,278,974	7,278,974	6,954,542	25,083	25,083	23,958
R ²	.004	.011	.326	.001	.017	.223
Average employment separation rates	18.9	18.9	19.0	27.4	27.4	27.3
B. Reemployment						
Misconduct	-8.47*** (2.48)	-12.8*** (1.53)	-9.59*** (1.10)	-1.80** (.75)	-2.40*** (.67)	-3.87*** (.49)
In (settlement)					X	X
Adviser controls	X	X		X	X	
Year × firm × county fixed effects			X			
Year fixed effects					X	
County fixed effects					X	
Firm fixed effects					X	
Observations	1,375,641	1,375,641	1,246,907	6,874	6,874	6,109
R ²	.000	.125	.373	.005	.076	.326
Average reemployment rates	52.2	52.2	53.2	66.2	66.2	67.7

NOTE.—The table measures the labor market consequences of misconduct by estimating linear probability models in eqs. (3)–(6). The dependent variable in panel A is a dummy variable indicating whether or not a financial adviser left his firm (eqs. [3] and [4]). The dependent variable in panel B is a dummy variable indicating whether or not a financial adviser joined a new firm within 1 year (eqs. [5] and [6]). In panel B, we restrict the sample to advisers who left their firm in a given year. In cols. 4–6 of both panels, we restrict the sample to advisers who received misconduct disclosures in the previous year and for whom we observe settlement/damage amount paid. Coefficients are in units of percentage points. Other adviser controls include the adviser's industry experience, tests (Series 6, 7, 18, 24, and investment adviser exam), and number of other qualifications. Observations are at the financial adviser by year level. Standard errors are in parentheses and are clustered by firm.

* $p < .10$.
 ** $p < .05$.
 *** $p < .01$.

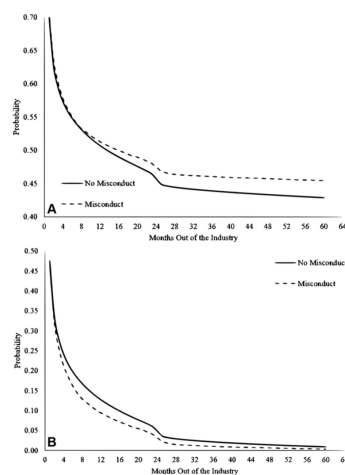


FIG. 6.—Duration out of the industry. A, Out of the industry survival function. B, Out of the industry survival function, conditional on finding a job in the industry.

Read:

- Table 8 shows the raw transition matrix: advisers with misconduct are much more likely to leave their firm, but many quickly find a new employer.
- Table 9 shows misconduct raises separation by roughly 24–31 percentage points and lowers quick reemployment by about 8–10 percentage points.
- Figure 6 and Table 10 show advisers with recent misconduct remain out of the industry longer, with hazard ratios around 0.83.
- Table 11 shows where they go: lower-paying, less prestigious, smaller, and dirtier firms.

Economic message. This is the heart of the equilibrium story. Firm-level punishment is real, but industry-level punishment is incomplete because some firms are willing to absorb offenders.

5.5 Table 12, Table 13, Figure 7, and Table 15: misconduct persists in a segmented market

Read:

- Table 12 shows dirty firms are more tolerant on both margins: they fire offenders less and hire offenders more.

	(1)	(2)	(3)	(4)
Misconduct	.83*** (.0064)	.83*** (.0065)	1.03*** (.0080)	1.03*** (.0080)
Other adviser controls	X	X	X	X
Year fixed effects		X		X
Complete spells			X	X
Observations	1,357,046	1,357,046	758,870	758,870

NOTE.—The table estimates the relationship between misconduct and an adviser's duration out of the financial advisory industry, corresponding to a Cox proportional hazard model (eq. [7]). Other adviser controls include the adviser's experience, tests (Series 6, 7, 63, 24, and investment adviser exam), and number of other qualifications. The coefficients are reported in terms of proportional hazards. Observations are at the financial adviser by out of the industry spell level over the period 2005–15. In cols. 3 and 4, we restrict the data set to include only complete out of the industry spells in which we observe that the adviser found new employment in the industry. Robust standard errors are in parentheses.

* $p < .10$.

** $p < .05$.

*** $p < .01$.

	Average Payout (1)	Number of Social Links (2)	Misconduct Rate (pp) (3)	Firm Size (4)	Assets (\$Billions) (5)	Revenue (\$Millions) (6)
Misconduct	-14,690*** (3,567)	-12,477*** (3,361)	.53*** (.058)	-1,898*** (230.2)	-36.76*** (4.82)	-391*** (41)
Original firm × year fixed effects	X	X	X	X	X	X
Observations	69,050	32,586	456,947	456,947	75,392	75,087
R^2	.559	.145	.290	.467	.332	.503

NOTE.—The table displays the characteristics of new firms joined by advisers who switched firms as a function of whether or not the adviser was reprimanded for misconduct in the year prior to the job transition (eq. [8]). Number of social network links measures the number of individuals who follow a firm on a popular social media website as of May 2015. Firm employee misconduct (misconduct rate) measures the share of financial advisers working at a firm that were reprimanded for misconduct in a given year. Observations are adviser by job transition for which the adviser found a job within a year. We restrict the data to observations in which advisers who were and were not reprimanded for misconduct leave a given firm in a given year. Standard errors are in parentheses and are clustered by firm.

* $p < .10$.

** $p < .05$.

*** $p < .01$.

- Table 13 shows firms serving retail clients and firms using commissions have higher misconduct.
- Figure 7 shows strong geographic heterogeneity across U.S. counties.
- Table 15 shows misconduct is more common in counties with more elderly residents, fewer college graduates, and higher incomes.

	(1)	(2)	(3)
A. Employment Separation			
Misconduct	31.2*** (1.89)	33.1*** (1.74)	27.3*** (1.84)
Firm employee misconduct	2.79*** (.41)	3.06*** (.37)	
Firm employee misconduct × misconduct	-2.84*** (.41)	-3.10*** (.37)	-1.32*** (.11)
Adviser controls		X	X
Year × firm × county fixed effects			X
Observations	7,278,974	7,278,974	6,954,542
R^2	.009	.017	.326
B. Hiring			
Firm employee misconduct _{t-1}	.72*** (.079)	.69*** (.081)	.68*** (.080)
Firm controls	X	X	X
Year fixed effects		X	X
State fixed effects			X
Observations	18,628	18,628	18,628
R^2	.087	.093	.102

NOTE.—Panel A examines whether firms that employ more advisers with misconduct records are more tolerant of misconduct in their separation decisions. It presents results corresponding to a linear probability model (eq. [9]). Observations are at the financial adviser by year level over the period 2005–15. The coefficients are in units of percentage points. Firm employee misconduct measures the share of financial advisers working at a firm that were reprimanded for misconduct in a given year. Firm employee misconduct is in units of percentage points. Other adviser controls include the adviser's experience, tests (Series 6, 7, 63, 24, and investment adviser exam), and number of other qualifications. Standard errors are in parentheses and are clustered by firm. Panel B examines whether firms that employ more advisers with misconduct records are more tolerant of misconduct in their hiring decisions by presenting estimates from eq. (10). Observations are at the firm by year level, where we restrict the data set to those observations in which the firm hired new advisers. The data consist of an unbalanced panel of the universe of 4,178 currently active financial advisory firms over the period 2005–15 as of May 2015. The dependent variable is the percentage of new hires made by a firm who were reprimanded for misconduct in the previous year. The coefficient units are in percentage points. Firm controls include the number of advisers, the firm's formation type (corporation, limited liability, etc.), the firm's age, whether any owner/officers have a record of misconduct, whether the firm is an investment advisory firm, whether the firm is affiliated with a financial institution, and whether the firm has a referral arrangement with other advisory firms. Each observation is weighted by the square root of the number of advisers in the firm. Standard errors are in parentheses and are clustered by firm.

* $p < .10$.

** $p < .05$.

*** $p < .01$.

	FIRM EMPLOYEE MISCONDUCT			
	Stock of Misconduct		Flow of New Misconduct	
	(1)	(2)	(3)	(4)
Retail investors	3.43** (1.56)	4.23*** (1.39)	.32** (.15)	.21* (.12)
Number of accounts (millions)	.93 (1.31)	5.01*** (1.38)	.085 (.082)	-.056 (.16)
Compensation structure:				
Assets under management	.37 (1.23)	.31 (.97)	.14 (.12)	.11 (.11)
Hourly	1.99 (1.32)	2.07** (.98)	.15** (.064)	.18*** (.062)
Fixed fee	-.016 (1.16)	-1.16 (1.03)	-.0051 (.12)	.012 (.13)
Commission	3.13*** (.74)	2.79*** (.72)	.012 (.078)	.022 (.059)
Performance	-1.64 (1.13)	.77 (1.41)	.22 (.17)	.20* (.12)
Firm controls		X		X
Year fixed effects		X		X
State fixed effects		X		X
Observations	1,136	1,125	1,136	1,125
R^2	.356	.464	.084	.184

NOTE.—The table examines whether firms that service less sophisticated (retail) customers have higher shares of advisers with misconduct records. It displays regression results corresponding to eq. (11). Observations are at the firm by year level over the period 2011–14 for an unbalanced panel of 405 investment advisory firms. In cols. 1 and 2, we measure the firm employee misconduct rate as the stock of misconduct: the percentage of advisers currently working for a firm that have ever been reprimanded for misconduct. In cols. 3 and 4, we measure the firm employee misconduct rate as the flow of new misconduct: the percentage of advisers currently working for a firm that are reprimanded for misconduct in a given year. Coefficients are in units of percentage points. Firm controls include the firm size (number of advisers), number of states the firm operates in, and the age of the firm. Each observation is weighted by the square root of the number of advisers in the firm. Standard errors are in parentheses and are clustered by firm.

* $p < .10$.

** $p < .05$.

*** $p < .01$.

Economic message. These exhibits tie the whole paper together. Misconduct persists not only because individuals reoffend, but because some firms and markets form a stable habitat for that misconduct.

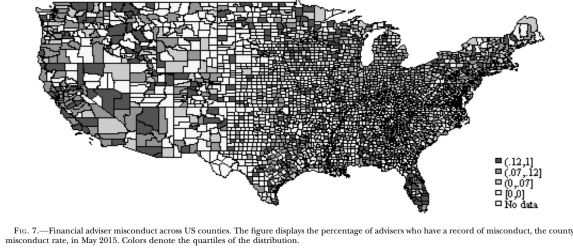


TABLE 15
COUNTY MISCONDUCT

	STOCK OF MISCONDUCT		FLOW OF NEW MISCONDUCT	
	(1)	(2)	(3)	(4)
ln(population)	.016 (.23)	.21 (.14)	.0011 (.029)	.034 (.021)
ln(income)	6.78*** (1.29)	8.41*** (1.81)	.60*** (.17)	1.03*** (.18)
% rural	-5.90*** (2.01)	-4.09** (1.83)	-.62** (.25)	-.47** (.23)
% college	-20.5*** (3.13)	-18.5*** (3.46)	-1.91*** (.26)	-2.20*** (.34)
% 65 or older	34.5*** (9.43)	37.8*** (7.11)	3.38*** (1.04)	2.97*** (.84)
Labor force participation	-9.50 (7.24)	-5.52 (6.20)	-2.17*** (.80)	-1.95*** (.75)
Year fixed effects		X		X
State fixed effects		X		X
Observations	2,607	2,607	2,607	2,607
R ²	.453	.640	.222	.397

NOTE.—The table examines which county characteristics predict misconduct, corresponding to eq. (12). Observations are at the county by year level over the period 2010–13. We restrict the data set to those counties with more than 50 advisers for whom demographic data are available from the American Community Survey. In cols. 1 and 2, we measure the county misconduct rate as the stock of misconduct: the percentage of advisers currently in a county that have been reprimanded for misconduct at or prior to the given year. In cols. 3 and 4, we measure the county misconduct rate as the flow of new misconduct: the percentage of advisers currently in a county that were reprimanded for misconduct in the given year. Coefficients are in units of percentage points. The independent variables % rural, % college, and % 65 or older are measured on the scale 0–1. Each observation is weighted by the square root of the number of advisers in the county. Standard errors are in parentheses and are clustered by county.

* $p < .10$.
 ** $p < .05$.
 *** $p < .01$.

6 Short summary

- The paper builds a panel of the universe of FINRA-registered advisers from 2005 to 2015 and measures misconduct conservatively using only six disclosure categories.
- Misconduct is widespread: 7.28% of advisers have a misconduct record and the annual incidence of new misconduct is 0.60%.
- Misconduct is highly persistent. Advisers with prior misconduct are far more likely to offend again, and many are repeat offenders.
- Firms differ sharply in misconduct prevalence, and these differences are persistent.
- Firms punish misconduct heavily, but the industry does not fully purge offenders because many are rehired elsewhere.
- Advisers who are rehired after misconduct move to firms that pay less, look less prestigious, are smaller, and have higher misconduct rates.
- Dirty firms are more tolerant of misconduct in both firing and hiring decisions.
- Misconduct is more common at retail-oriented and commission-based firms and in counties with more elderly, less educated, and richer populations.
- The overall interpretation is a segmented equilibrium in which some firms specialize in misconduct and cater to less sophisticated consumers.

7 Conclusion

7.1 Core conclusion (what the paper establishes)

The paper establishes that misconduct in financial advice is substantial, persistent, and organized. It is not just a story of isolated rogue advisers. Misconduct clusters within some advisers, within some firms, and within some local markets. Firms do punish misconduct, but the labor market partially undoes that discipline by reallocating offenders to other firms.

7.2 Economic intuition

The key economic intuition is a matching-and-segmentation story. Some advisers have a higher propensity to engage in misconduct. Some firms are more tolerant of that behavior and are willing to hire such advisers. Those firms can survive because some customers are less sophisticated, less likely to discipline bad advisers effectively, or easier to exploit. In that environment, market discipline is not strong enough to eliminate misconduct.

7.3 What to remember

For studying household finance, the paper's lasting lesson is that disclosure and reputation alone may not be enough in expert markets. Even when misconduct records are public, bad conduct can survive if there are repeat offenders, tolerant firms, and vulnerable customers. That is why the paper is important well beyond financial advice: it speaks to how expert markets function when consumers are less informed than sellers.